BIZ-OMICS

The Credit Ratings Starter: Can the UK keep its AA?

A-Level Economics · Fiscal policy, national debt & fiscal discipline · Calculation & multiple-choice starter

Name:	Class:	Date:

1 The news

What happened?

30 October 2024, Rachel Reeves's first Budget. The new Chancellor rewrote the UK's fiscal rules. Day-to-day spending must be paid for by tax, but the government may **borrow to invest**. She also changed the way debt is measured, from **public sector net debt** (PSND) to **public sector net financial liabilities** (PSNFL), which subtracts financial assets the state owns, such as student loans owed to it. The IFS estimated the switch would have created about **£53 billion** of extra room under the debt rule.

The market reaction. Gilt yields rose when she confirmed the change on 24 October, fell during her speech, then jumped once the OBR showed borrowing would be about **£28 billion a year higher** than planned. The 10-year yield hit **4.57%** the next day, its highest since August 2023. Gilts sold off, but this was no repeat of the 2022 mini-budget crisis.

November 2025. Reeves tightened the framework further: the OBR now judges the rules **once a year**, at the Budget, and from 2026-27 the target is always the **third year** of the forecast.

2026: the rules are tested. On 20 July, new Prime Minister Andy Burnham said he would keep the rules but "use any flexibility within them". The 30-year yield jumped 0.1 percentage points. On 28 October, Chancellor John Healey's Budget **kept Reeves's rules** in full, and yields edged down.

Reeves's two fiscal rules

1. The stability rule

The **current budget** (tax minus day-to-day spending) must be in balance by the third year of the forecast. From 2026-27, "balance" means within **±0.5% of GDP**. Borrowing for investment is allowed: this is a **golden rule**.

2. The investment rule

PSNFL must be falling as a share of GDP by the target year. Old measure: ~~PSND excluding the Bank of England~~. The new measure counts the government's financial assets as well as its debts.

Why did she change them?

Protect investment. Under the old debt rule, cutting capital spending was the easiest way to hit the target, even when the projects would pay off.

A truer balance sheet. Lending to students or buying a stake in a firm creates an asset. PSNFL counts that asset, not just the borrowing.

Credibility after 2022. Fixed rules, a "fiscal lock" requiring the OBR to check every major fiscal event, and one judgement a year all aim to reassure markets.

TELL ME WHY

A government that sticks to its fiscal rules can usually borrow more cheaply. **Tell me why.**

2 The data

Figure 1: Where does the UK sit on the ratings ladder?

Moody's	S&P	Fitch	Meaning
Aaa	AAA	AAA	Highest quality
Aa1	AA+	AA+	Very high quality
Aa2	**AA**	AA	
Aa3	AA−	**AA−**	
A1	A+	A+	High quality
A2	A	A	
A3	A−	A−	
Baa1	BBB+	BBB+	Lower investment grade
Baa2	BBB	BBB	
Baa3	BBB−	BBB−	
Ba1	BB+	BB+	"Junk"

Black cell = the UK's rating today. Each step on the ladder is one **notch**. The dashed line marks the bottom of **investment grade**: many pension funds and insurers are not allowed to hold bonds below it.

Agency	UK rating	Outlook	Last confirmed
Moody's	Aa3	Stable	Nov 2025 (next review 20 Nov 2026)
S&P	AA	Stable	Apr 2026
Fitch	AA−	Stable	Aug 2026

An **outlook** (stable, negative, positive) signals which way the next move is likely to go.

Table 1: How the UK lost its AAA

Date	Agency	From	To	Main reason given
Feb 2013	Moody's	Aaa	Aa1	Weak growth; debt rising for longer than planned
Apr 2013	Fitch	AAA	AA+	Debt forecast to peak later and higher
Jun 2016	S&P	AAA	AA	Brexit vote (a two-notch cut)
Jun 2016	Fitch	AA+	AA	Brexit vote
Sep 2017	Moody's	Aa1	Aa2	Brexit uncertainty; slower deficit reduction
Mar 2020	Fitch	AA	AA−	Covid-19 borrowing; weaker public finances
Oct 2020	Moody's	Aa2	Aa3	Weaker growth; Covid-19; Brexit
Sep–Oct 2022	S&P, Fitch	Stable	Negative	Mini-budget: unfunded tax cuts (outlooks only; back to stable by 2024)

Sources: Moody's, S&P Global Ratings, Fitch Ratings rating actions.

Table 2: The 10-year gilt yield at key moments

Date	Event	10-year yield
Mid-Sep 2024	Low point before the Budget build-up	3.73%
24 Oct 2024	Reeves confirms the switch to PSNFL (yields up 0.08 percentage points on the day)	4.26%
30 Oct 2024	Budget speech: low point while she was speaking	4.20%
31 Oct 2024	Day after: markets digest OBR forecast of extra borrowing	4.57%
20 Jul 2026	Burnham: "use any flexibility" in the rules (30-year: +0.1 percentage points to 5.73%)	5.02%
8 Oct 2026	Energy-price shock and rate-rise fears: highest since July 2007	5.53%
28 Oct 2026	Healey's Budget keeps Reeves's rules (down 0.02 percentage points)	5.32%

Sources: Tradeweb, LSEG and Bloomberg data via Reuters, Alliance News, IG; figures rounded.

Table 3: The public finances (OBR, October 2026)

£109bn Debt interest in 2025-26 (**3.5% of GDP**). Forecast: **£160bn** (4.2% of GDP) by 2031-32	**96% / 83%** Net debt (PSND) / net financial liabilities (PSNFL) as a share of GDP in 2026-27	**£134bn** Borrowing in 2025-26 (4.4% of GDP), forecast to fall to **£67bn** by 2030-31
£15bn **Headroom**: the margin by which the stability rule is met in 2029-30. It was **£22bn** at the November 2025 Budget	**≈ £30bn** Average headroom Chancellors have kept since the OBR began in 2010	**£16bn** Change in borrowing from a **1 percentage point** change in gilt yields and Bank Rate

Source: OBR, Economic and fiscal outlook, 28 October 2026. In October 2024, headroom against the stability rule was just £9.9bn, and the OBR estimated borrowing would be £28.4bn a year higher on average than previous plans.

TELL ME WHY

A credit rating downgrade can become **self-fulfilling**. **Tell me why.**

3 Calculation tasks

Show your working. Round money to 3 significant figures and percentages to 1 decimal place.

READ THE DATA

Figure 1 · Table 1

1. How many notches below the top rating is the UK with each agency? How many notches has the UK lost in total across all three agencies since 2012?

CALCULATE

Table 2

2. (a) Calculate the rise in the 10-year gilt yield between mid-September 2024 and 31 October 2024, in percentage points and as a percentage change.
(b) How many percentage points higher was the yield on 8 October 2026 than in mid-September 2024?

CALCULATE

Bond maths

3. A gilt has a face value of £100 and pays a fixed **coupon** of £4 a year. Its yield = coupon ÷ price × 100.
(a) What is its yield if it sells for £100? (b) Investors sell and its price falls to £80. What is the yield now? (c) At what price would its yield equal 5.32%, the 10-year yield after Healey's Budget?

CALCULATE

Table 3

4. (a) Debt interest of £109bn is 3.5% of GDP. Use this to estimate UK GDP in 2025-26.
(b) Calculate the percentage increase in debt interest between 2025-26 (£109bn) and 2031-32 (£160bn).
(c) By how many percentage points does debt interest rise as a share of GDP?

CALCULATE

Table 3

5. In 2026-27, PSND is 96% of GDP but PSNFL is only 83%. Using GDP of £3.1 trillion, calculate the value of the financial assets that PSNFL subtracts. Why does this make the investment rule easier to meet?

CALCULATE

Table 3

6. (a) Headroom is £15bn, and a 1 percentage point rise in yields and Bank Rate adds £16bn to borrowing. How large a rise in yields, in percentage points, would wipe out the headroom completely?
(b) Calculate the percentage fall in headroom since the November 2025 Budget (£22bn), and today's headroom as a percentage of the £30bn average since 2010.

CALCULATE

Tables 2 & 3

7. (a) After Burnham's comments the 30-year yield rose by 0.1 percentage points. If the government then sold £10bn of new 30-year gilts, how much extra interest would it pay each year, and over the life of the gilts?
(b) The OBR said Reeves's 2024 Budget raised borrowing by £28.4bn a year on average over five years. Calculate the total extra borrowing.

4 Calculation tasks: the rule change in numbers

Table 4: What did the rule change do to the public finances?

The OBR's verdict on Reeves's October 2024 Budget, compared with the previous government's March 2024 plans.

Measure	Previous plans (Mar 2024)	Reeves's Budget (Oct 2024)
Public sector net investment	Falls from 2.5% of GDP (2023-24) to **1.7%** in 2028-29	Averages **2.6% of GDP** over the Parliament
Extra capital investment	–	**£100bn+** over five years (£28bn extra in 2028-29 alone)
Extra spending from Budget policies	–	**£69.5bn a year** on average from 2025-26 (about half funded by tax rises)
Extra borrowing from Budget policies	–	**£32.3bn a year** on average, 2025-26 to 2029-30 (1.0% of GDP)
Old debt rule: PSND ex BoE falling in year 5	Met	**Missed by £6bn**: this measure rises in every year of the forecast
New debt rule: PSNFL falling in 2029-30	–	**Met by £16bn**
Stability rule: current budget balanced in 2029-30	–	**Met by £9.9bn** (0.3% of GDP; 54% chance of being met)

Sources: OBR, Economic and fiscal outlook, October 2024; HM Treasury, Autumn Budget 2024; IFS; Fraser of Allander Institute. The OBR called it one of the largest increases in borrowing outside a crisis since the March 1992 Budget.

£53bn
Extra room the switch to PSNFL would have created at the March 2024 Budget (IFS)

+0.4% / +2.4%
Rise in potential output after **5 / 50 years** from a permanent 1% of GDP rise in public investment (IFS)

£9.9bn → £22bn → £15bn
Headroom against the stability rule: Oct 2024 → Nov 2025 → Oct 2026

All questions use Table 4. Use GDP of £3.1 trillion unless told otherwise.

CALCULATE

Table 4

8. Under the previous plans, investment would have fallen to 1.7% of GDP in 2028-29. Reeves's plans keep it at about 2.6%.
(a) Calculate the difference in percentage points. (b) Convert it into £bn. Does your answer match the IFS figure of £28bn extra in 2028-29?

CALCULATE

Table 4

9. Budget policies added £69.5bn a year to spending and £32.3bn a year to borrowing.
(a) What percentage of the extra spending was funded by borrowing? (b) How much was funded by tax rises, in £bn and as a percentage?

CALCULATE

Table 4

10. (a) Calculate the total extra borrowing from Budget policies over the five years 2025-26 to 2029-30.
(b) If all of it were financed with gilts at a yield of 4.5%, how much extra debt interest would the government pay **each year**?
(c) Express your answer to (b) as a percentage of the £9.9bn headroom.

CALCULATE

Table 4

11. (a) Under the old rule the Budget would have **missed** by £6bn; under the new rule it **passed** by £16bn. Calculate the swing created by changing the measure.
(b) The IFS estimated the switch would create about £53bn of room. Roughly what percentage of that room was left unused after the Budget?

CALCULATE

Table 4

12. The IFS estimates that a permanent rise in public investment of 1% of GDP raises potential output by 0.4% after 5 years and 2.4% after 50 years. Reeves's plans keep investment about 0.9% of GDP higher (Q8).
(a) Estimate the boost to output after 5 years and after 50 years, as a percentage and in £bn. (b) Compare these with the £32.3bn a year of extra borrowing. What does this suggest?

TELL ME WHY

Critics say "debt is debt" and that switching to PSNFL just **moved the goalposts**. **Tell me why**, then give one counter-argument.

5 Multiple choice

Circle one answer for each question.

MULTIPLE CHOICE

13. A rating agency downgrades the UK from AA to AA−. What is the most likely **immediate** effect?

(A) Gilt prices rise and yields fall
(B) Gilt prices fall and yields rise
(C) The Bank of England must raise Bank Rate
(D) The government is legally required to cut spending

MULTIPLE CHOICE

14. Reeves's **stability rule** requires that:

(A) Total government borrowing is zero by the target year
(B) Day-to-day spending is paid for by revenue; borrowing is only for investment
(C) Net debt stays below 60% of GDP
(D) Debt interest stays below 3% of GDP

MULTIPLE CHOICE

15. Why did switching from PSND to PSNFL create around £50bn of extra room?

(A) It ignores debt held by the Bank of England
(B) It subtracts financial assets, such as student loans owed to the state
(C) It counts schools and hospitals as assets
(D) It leaves debt interest out of the calculation

MULTIPLE CHOICE

16. On 30 October 2024, the 10-year yield fell during Reeves's speech but reached 4.57% the next day. What best explains the rise?

(A) The UK was downgraded that day
(B) The OBR showed much higher borrowing, and markets expected fewer interest rate cuts
(C) The Bank of England raised Bank Rate
(D) The fiscal rules were scrapped

MULTIPLE CHOICE

17. Since Reeves's November 2025 Budget, how often does the OBR judge whether the fiscal rules are being met?

(A) Every month
(B) Twice a year
(C) Once a year, at the Budget
(D) Only before a general election

MULTIPLE CHOICE

18. Burnham promised to keep the rules but "use any flexibility", and the 30-year yield rose 0.1 percentage points. Which idea best explains this?

(A) Crowding out of private investment
(B) Fiscal credibility: lenders want a higher risk premium if discipline looks weaker
(C) A liquidity trap
(D) The J-curve effect

? Clue sheet

Stuck? Try the question first, then read the clue for that number only.

1. Count the steps from the top row of Figure 1 down to the black cell in each column. Add the three answers together.

2. Percentage points = new yield − old yield. Percentage change = difference ÷ old × 100.

3. (c) Rearrange: price = coupon ÷ yield. Write 5.32% as 0.0532.

4. (a) If 3.5% = £109bn, divide by 3.5 to get 1%, then multiply by 100. (b) (new − old) ÷ old × 100. (c) Percentage points = new − old.

5. Find the gap in percentage points, write it as a decimal (13% → 0.13) and multiply by £3,100bn.

6. (a) If 1 percentage point costs £16bn, what fraction of 1 percentage point costs £15bn? (b) Percentage change, then part ÷ whole × 100.

7. (a) 0.1% = 0.001. Multiply by £10bn, then by 30 years. (b) Average per year × number of years.

8. Percentage points = new − old. Then 0.9% → 0.009, × £3,100bn.

9. Part ÷ whole × 100. Whatever was not borrowed came from taxes.

10. (a) Average per year × 5. (b) 4.5% → 0.045. (c) Part ÷ whole × 100.

11. (a) A miss of £6bn is −6. The swing is the distance from −6 to +16. (b) Unused ÷ total × 100.

12. The effect scales: 0.9% of GDP is 0.9 × the effect of 1%. Then turn the % into £bn using £3,100bn.

13–18. Reread "What happened?" and the notes under each table. Remember: bond price and yield always move in **opposite** directions.